



IN THE LAST 75 years, India has benefitted from all the technological progress we have made. Technology has been instrumental in helping drive disruptive business models across payments, lending,

positioned by the Government of India as a public good can do.

For a nation of entrepreneurial innovators, I believe this revolution is just the beginning. Given the momentum we have, and the many things we are yet to accomplish, here are six big themes that I believe will play out as part of India's digital finance future when India turns 100 i.e. 25 years from now.

Digital payments: Having a completely digital payments system will be as crucial to society as the introduction of paper money. We foresee a future where digital payments

optimise outcomes. The emergence of this frictionless financial system, made possible through digitised payments, will unleash innovation and opportunity for many.

Hyper-personal insurance products: Easy and affordable access to insurance is the next big disruption that will happen in the financial services space over the next few years. Advances in Machine Learning technology will enable insurers to combine different data assets across GPS data, smartphone accelerometer and gyroscope data with customers' personal and digital



BY RAHUL CHARI

Transforming India's Payments Ecosystem

In the next 25 years, the revolution in fintech and tech-driven payments solutions can truly make India stand apart globally

insurance and wealth management. India has also transformed from a cash-driven society, that, even as late as 2015, trailed the US and China in terms of digital payment transactions, to one which has become an exemplar for the rest of the world today. The fintech story in India is a brilliant example of a strong public-private partnership. It is a demonstration of what entrepreneurial innovation built on top of an intentional technology stack developed and

become the standard, not the exception, for the entire country. Such a digital audit trail will also enable the government to broaden the tax net, leading to a decrease in compliance costs, while making the taxation system more efficient. Private access to their financial history will also empower citizens, reducing their dependence on middlemen. Aggregated data that can be sliced and diced to support fine-grained geographic analysis will also support policymakers to frame targeted policies that can

data assets to hyper-personalise insurance products and its pricing. This will transform insurance sales from the traditional push-based model to a pull-based model where customers will be able to choose the right products for themselves. With these advances, friction in purchasing life, health and other insurance products will go away. The growth of insurance, powered by the ubiquity of digital payments and universal credit histories, will reduce costs and improve service levels while widening